biggest of automobile equipment manufacturers and vehicle makers to make cars more efficiently.

An interesting example is of the Engine Control Unit that the German company Bosch made for the Nano, after initially dithering on the proposal. They were indecisive because of the low target cost. Faced with their reluctance, Tata Motors made an in-house effort and tested its prototype at the factory premises. The surprised CEO of Bosch took up the challenge and matched the cost. This frugal engineering made Bosch develop a new unit that it not only sold to Tata Motors but also exported to various carmakers in Europe with great success, Wagh says.

The Nano's design and unbelievably low manufacturing cost also made celebrities of hitherto-unsung Indian engineers. Even countries that had been at the forefront of automobile engineering were unable to accomplish what the Nano team did. The level of innovation was virtually unparalleled in automobile history. In its article, *The Independent* opined that, 'Mr Wagh and his team have designed a car at a fraction of the cost of anything the best minds in Japan, Detroit, Korea and China have achieved.'

The Nano was the harbinger of a revolution to produce cars at an unheard-of price. It ushered in new methods of production, design and material innovation. The *Financial Times* said in 2008 that the Nano had 'prompted a global race among carmakers to produce ultra-cheap vehicles for emerging markets'. *The Independent* enthused, 'For the first time, a car has been placed in the same price bracket as a flat-screen TV, a London commuter's season ticket, or an upmarket mountain bike.'

The Nano's drastic reduction in the manufacturing cost of automobile parts drew the attention of automobile manufacturers around the world. *The Economist* analysed its effect on the automobile industry saying, 'Other car companies' paid 'close attention' to the 'shrunken production costs'. The term 'frugal engineering' was first used by Ghosn, an admirer of what Tata Motors has achieved with the Nano. Ghosn went on to use a 'similar approach, although a bit higher up the market, to make a back-to-basics car called the Logan at the company's Romanian subsidiary. According to Hadi Zablit, who studies emerging markets at BCG, around 400,000 Logans are sold every year and have a higher profit margin than other Renault vehicles.'

The Nano induced at least four car manufacturers in India to announce their intention to produce competing cars. In June 2007, Ghosn revealed his